

Procurement Policy

SYNTHETIC DEMO DOCUMENT — AI Supply Chain Copilot Portfolio Project

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1. Purpose and Scope

This policy defines purchasing controls, supplier selection requirements, approval expectations, and escalation standards for the synthetic enterprise used in the AI Supply Chain Copilot demonstration.

Procurement decisions should balance continuity of supply, total landed cost, quality, lead time, service performance, contractual obligations, and supplier risk.

2. Supplier Qualification

New suppliers must be evaluated for commercial capability, quality, capacity, financial and operational risk, lead-time reliability, and compliance with applicable sourcing requirements.

Preferred suppliers should normally maintain an on-time delivery rate of at least 90% and a quality rating of at least 4.0 out of 5. Exceptions require documented business justification and an improvement plan.

3. Purchase Order Controls

Purchase orders must contain the approved supplier, item or service description, quantity, agreed price, requested delivery date, ship-to location, and applicable contract reference.

Material changes to quantity, price, delivery date, or scope require documented approval before the change is committed to the supplier.

4. Delivery Performance and Escalation

A supplier whose rolling on-time delivery performance falls below 85% should be placed under enhanced monitoring. Procurement should request a root-cause analysis and corrective action plan when poor performance is persistent or materially affects operations.

If a supplier's measured delay rate exceeds 20% over the current review period, Procurement should initiate a formal performance review. Where a contract contains stricter service-level requirements, the contract takes precedence.

For repeated delivery failures, Procurement may increase safety stock temporarily, split future awards across qualified sources, expedite critical orders, or begin alternate-source qualification. These actions should consider cost and continuity risks.

5. High-Risk Supplier Response

Suppliers classified as Delayed or otherwise high risk require monthly performance review until performance stabilizes. Critical shortages or repeated contractual service failures should be escalated to the Supply Chain Manager and Procurement Manager.

Corrective actions should be evidence-based and may include recovery schedules, revised lead-time commitments, supplier development activity, contingency sourcing, or contractual remedies when supported by the applicable agreement.

End of synthetic demo document.